Chapter 7 VOUCHING OF CASH TRANSACTIONS – II

Learning Objectives

- After going through this unit the students will be able to describe the procedure in regard to vouching the credit side of the cash book.

TO BE RECALLED RECAP

In the previous lesson, we have studied the meaning of vouching and vouchers, and procedure with regard to vouching the debit side of the cash book. The debit side items such as Opening balance, cash sales, receipts from debtors, income from interest and dividend, sale of investments and sale of fixed assets.

7.1 Vouching of Credit Side of Cash Book (or) Cash Payments

The auditor vouches cash payments with an objective to ensure that all cash payments pertaining to business activities are genuine and properly authorized. The auditor in vouching cash payments or credit side of Cash Book should ensure that payments are made for the purpose of business, payment relates to the period under audit, payment is properly sanctioned and recorded, payment has been made to the right person, and payment is properly supported by a voucher and same as entered in Cash Book.

7.2 Auditors Duty in Vouching Cash Payments

The auditor should pay special attention to the following points while vouching cash payments.

1. The auditor should evaluate the effectiveness of Internal check and Internal control system for cash payments.
2. He should ensure that all the vouchers are made in the name of the business concern and payments are made pertaining to business.
3. He should ensure that vouchers have been correctly posted to the appropriate accounts and properly distinguished between capital and revenue expenditure.
4. He should ensure that all cash payments are within the period under audit.
5. When cash payments are made in excess of ₹20,000 the auditor should enquire the circumstances for making such a payment and the same made through bank cheque.
6. He should also compare the rough cash book with the cash book to identify the fictitious payments.

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